

KOREA ADVANCED INSTITUTE OF SCIENCE AND TECHNOLOGY

College of Business

Financial Accounting BAF.50002 – Summer 2026

Instructor: 홍필립기재, Ph.D., CPA

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Class Times: Tue/Thur 7:00–10:00 pm & Sat 9:00–4:30 pm

Classroom: 9608

Office Hours: by appointment

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Introduction

Financial Accounting is designed to provide MBA students with a strong foundation in the theory, concepts, principles, and practices underlying the preparation and interpretation of financial statements. The course emphasizes the role of financial accounting as a critical information system for external users—including investors, creditors, and analysts—to make informed business decisions. While students will gain an understanding of how accounting information is produced, the primary focus of the course is to develop students as *informed users* of financial statements, not preparers.

Throughout the course, students will also enhance their communication, analytical, problem-solving, and technical skills, which are essential for success in professional business environments. Class activities will include lectures and homework assignments, designed to sharpen decision-making skills based on financial information.

Course Objectives

By the end of this course, students will be able to:

- Understand and interpret the basic financial statements (Balance Sheet, Income Statement, Statement of Cash Flows, and Statement of Shareholders' Equity).
- Develop fluency with accounting terminology and the accounting framework.
- Analyze and assess a firm's financial health across periods and in comparison to industry peers.
- Strengthen awareness of current financial reporting issues

- Enhance critical thinking skills needed to evaluate financial accounting information as a tool for business decision-making.

The course places particular emphasis on understanding the mapping between underlying business activities and the resulting financial statements, and how this affects inferences about future performance and profitability.

Overview of Course Content

Financial accounting serves as the language of business and is essential to the decision-making process of external stakeholders. The course introduces students to the accounting cycle, the conceptual framework of accounting, and the preparation and analysis of financial statements.

Students will examine how accounting captures the economic consequences of business transactions and presents them in the form of financial reports. Topics will include revenue recognition, expense matching, asset valuation, liabilities, equity, and cash flow analysis.

The course materials—including the textbook and lecture notes—will provide a comprehensive conceptual framework. Class sessions will blend short lectures with active discussions and problem-solving exercises. Assigned cases and questions will focus on real-world issues, encouraging students to critically evaluate the quality and relevance of accounting information for decision-making.

While the course introduces the mechanics of financial accounting, its overarching goal is to empower students with the analytical skills to interpret accounting reports and assess their implications for managerial and investment decisions.

Course Material

- Textbook (Optional)
 - *Financial Accounting* (7th ed.) by Hanlon, Magee, & Pfeiffer. Cambridge Business Publishers, 2023. ISBN: 978-1618534316.1
 - IFRS 회계원리 – 이효익, 최관, 백원선, 신영사
 - 이것이 실전회계다 (어바웃어북) – 김수현, 이재홍
 - 사례와 함께하는 회계원리, 최종학, 송혁준, 이우종, 최선화, 신영사
- Lecture Notes: The lecture notes will be made available in advance of the class.

Grading

Your final course grade will be determined as follows:

Component	Weight
Midterm Exam	30%
Final Exam	30%
Assignments	20%
Attendance & Participation	20%
Total	100%

Grade Determination:

In general, I will follow standard percentage grade cutoffs (93% = A, 90% = A-, 85% = B+, 80% = B, etc.) With that said, this is a graduate level class, and I will follow standard grade distributions for this academic level. If a curve is needed, I will look for gaps in the distribution of point totals and will adjust the respective thresholds accordingly. That is, I will assign the same grade to students with point totals that are close to one another.

Coursework Details

- There will be two exams and regular homework assignments.
- Homework is due at the start of class on Tuesdays.
- Solutions will be posted immediately after the due date for your review.
- Assignment grading will be based on completion and effort, not strictly on accuracy.
- Make-up exams will not be given unless you provide documented evidence of a legitimate reason (e.g., medical emergency).

Attendance and Participation

Regular attendance and active participation are essential to your success in this course. You are expected to attend all class sessions and be prepared to engage in discussions. If you anticipate missing a class, please inform me in advance. For excused absences, supporting documentation must be submitted prior to the missed class to avoid penalty on your attendance and participation grade.

Course Outline
Tentative Class Schedule (Last Updated August 4, 2026)

Session	Date	Readings	Assignments Due
1	7/28 (화)	Ch 0 – Introduction to Accounting Basics – Color Accounting 1 &2	
2	7/30 (목)	Ch 0 – Introduction to Accounting Basics – Color Accounting 2 & 3 (T-Account & Journal Entry)	
3	8/1 (토)	Ch 1 – Introducing Financial Accounting	
4	8/1 (토)	Ch 2 – Construction Financial Statements	
5	8/4 (화)	Ch 3 – Adjusting Accounts for Financial Statements	Ch 0,1 & 2
6	8/6 (목)	Ch 6 – Reporting and Analyzing Revenues Receivables and Operating Income	
7	8/8 (토)	Ch 4 – Reporting and Analyzing Cash Flows	
8	8/8 (토)	Special Topic – Valuation Basics and PE ratio	
9	8/11 (화)	Ch 7 – Reporting and analyzing Inventory	Ch 3 & 4
10	8/13 (목)	Ch 5 Analyzing and Interpreting Financial Statements	
11/12	8/15 (토)	Holiday (No Class)	
13	8/18 (화)	Ch 8 – Reporting and Analyzing Long-Term Operating Assets	Ch 5 & 7
14	8/20 (목)	• Ch 9 Reporting and Analyzing Liabilities • Ch 10 Reporting Income Taxes & Commitments and Contingencies • Course Review	Ch 5 and 8
15	8/22 (토)	Ch 11 – Reporting and Analyzing Stockholders' Equity	
16	8/22 (토)	Ch 0, 1,2,3,4,5,6,7 and 8 (excludes Ch 9, 10 & 11)	